

has now but a microscopic chance to be heard by the United States Supreme Court. Nevertheless, the mere pendency of this litigation will severely reduce the market value of the bonds. Under the conditions named, they are likely to sell as low as 35 instead of 50 cents on the dollar. The anomaly here is that a remote claim, which the plaintiff can regard as having scarcely any real value to him, is made the equivalent in the market to a heavy liability on the part of the defendant. We thus have a mathematically demonstrable case of undervaluations, and, taking these as a class, they lend themselves exceedingly well to exploitation by the securities analyst.

Examples: Island Oil and Transport 8% Notes. In June 1933 these notes were selling at 18. The receiver held a cash fund equivalent to about 45% on the issue, from which were deductible certain fees and allowances, indicating a net distributable balance of about 30 for the notes. The distribution was being delayed by a suit for damages that had been repeatedly unsuccessful in its various legal stages and was now approaching final determination. This suit was exerting an adverse effect upon the market value of the notes out of all proportion to its merits, a statement that is demonstrable from the fact that the litigation could have been settled by payment of a relatively small amount. After the earlier decisions were finally sustained by the higher courts, the noteholders received a distribution of \$290 per \$1,000 in April 1934. A small additional distribution was indicated.³

A similar situation arose in the case of United Shipyards Corporation stock after ratification of the sale of its properties to Bethlehem Steel Company in 1938. Dissenting holders brought suit to set the sale aside on the ground that the price was grossly inadequate. The effect of this litigation was to hold down the price of the Class B common to $1\frac{1}{4}$ in January 1939, as against a realizable value of between $2\frac{1}{2}$ to 3 if the sale was upheld. Obviously, if the suit had any merit, the stock should have been worth more rather than less than $2\frac{1}{2}$; alternatively, if it had no merit, as seemed clear, then the shares were clearly worth twice their sell-

³ A very similar situation existed in 1938 in connection with the various bond issues of National Bondholders Corporation, which was engaged in liquidating various properties and claims. These securities were selling at considerably less than the amount realizable for them in liquidation, chiefly because of certain suits involving a substantial cash fund. As in the Island Oil example, this litigation was in the last stages of appeal, and the decisions theretofore had all been favorable to the bondholders. Following the final decision the value of a typical issue advanced from 26 bid in 1938 to the equivalent of 41 bid in 1939.